March 25, 2013

Dear Shareholder:

We are pleased to invite you to attend the Annual Meeting of the Shareholders of Canada Bread Company, Limited, to be held at the Albany Club, 91 King Street East, Toronto, Ontario, at 2:30 p.m. on Wednesday, May 8, 2013. The items of business you will be asked to act on are set forth in the accompanying Notice of Annual Meeting of Shareholders and Management Information Circular.

We invite you to read our 2012 Annual Report. The report provides an account of our performance in 2012 and includes the financial statements for 2012 and management's discussion and analysis regarding these statements. In the report, we also review our progress over the year and outline our plans for 2013 and beyond.

We encourage you to ensure that your shares are represented at the Meeting whether or not you are able to attend. Your vote is important. If you do not plan to be present, we would appreciate you taking the time now to sign, date and return the enclosed proxy form in the envelope provided so that your shares can be voted at the Meeting in accordance with your instructions.

Proxies will be counted and tabulated by Computershare Investor Services Inc., the transfer agent of Canada Bread Company, Limited.

We thank you for your continuing support of the Company as a shareholder.

Yours very truly,

MICHAEL H. MCCAIN
Chairman of the Board

RICHARD A. LAN
President & Chief Executive Officer

CANADA BREAD COMPANY, LIMITED

NOTICE OF ANNUAL MEETING OF SHAREHOLDERS

TAKE NOTICE that the Annual Meeting of Shareholders (the "Meeting") of Canada Bread Company, Limited (the "Corporation") will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Wednesday, May 8, 2013 at 2:30 p.m. (Toronto time) for the following purposes:

(a) to receive the consolidated financial statements for the year ended December 31, 2012, together with the auditors' report thereon;

(b) to elect directors;

(c) to appoint auditors and authorize the directors to fix their remuneration; and

(d) to transact such other business as may properly come before the Meeting or any adjournment thereof.

The accompanying Management Information Circular, dated March 25, 2013, provides additional information concerning the matters to be dealt with at the Meeting.

DATED at Toronto this 25th day of March, 2013.

By Order of the Board.



R. CAPPUCCITTI
Corporate Secretary

CANADA BREAD COMPANY, LIMITED
MANAGEMENT INFORMATION CIRCULAR

VOTING INFORMATION

SOLICITATION OF PROXIES

This Management Information Circular is furnished in connection with the solicitation by management of Canada Bread Company, Limited ("Canada Bread" or the "Corporation") of proxies to be used at the Annual Meeting of Shareholders of the Corporation (the "Meeting"), to be held at the Albany Club, 91 King Street East, Toronto, Ontario on Wednesday, May 8, 2013, at 2:30 p.m. (Toronto time) for the purposes set forth in the attached Notice of Meeting. The costs of such solicitation will be borne by the Corporation. It is planned that the solicitation will be primarily by mail, but proxies may also be solicited by telephone, in writing, by email, by fax, by other electronic means or in person by employees of the Corporation or by agents of the Corporation at a nominal and customary cost.

APPOINTMENT AND REVOCATION OF PROXIES

The persons named in the enclosed form of proxy are directors or officers of the Corporation. **A shareholder desiring to appoint some other person or company, who need not be a shareholder of the Corporation, to represent the shareholder at the Meeting may do so either** by inserting such person's name in the blank space provided in the form of proxy or by completing another proper form of proxy and, in either case, delivering the completed proxy to the Secretary of the Corporation, c/o Computershare Investor Services Inc., 100 University Avenue, 9th Floor, Toronto, Ontario M5J 2Y1, for receipt on or before 5:00 p.m. on the second-last business day preceding the day of the Meeting or any adjournment thereof at which the proxy is to be used, or delivering it to the Chairman of the Meeting on the day of the Meeting or any adjournment thereof prior to the time of voting. A proxy should be executed by the shareholder or his attorney duly authorized in writing or, if the shareholder is a corporation, by an officer or attorney thereof duly authorized.

In addition to any other manner permitted by law, a proxy may be revoked before it is exercised by depositing an instrument in writing, executed in the same manner as a proxy, with the Secretary of the Corporation at the address shown above at any time up to and including the last business day preceding the day of the Meeting or any adjournment thereof at which the proxy is to be used, or with the Chairman of the Meeting on the day of such Meeting or any adjournment thereof, and upon either of such deposits the proxy is revoked.

VOTING OF PROXIES

A proxy in the form enclosed with the Notice of Meeting confers discretionary authority on the management nominee named therein with respect to amendments or variations to the matters identified in the Notice of Meeting or other matters that may properly come before the Meeting. Management of the Corporation is not aware of any amendments, variations or other matters that are to be presented for action at the Meeting.

Shares represented by proxies properly executed in favour of the persons whose names are printed therein will be voted for or against or withheld from voting in accordance with the choices specified in the executed proxy on any ballot that may be called for, but if no choice is specified, such shares will be voted:

(i) FOR the election as directors of the Corporation of each of the persons listed as nominees under the heading "Election of Directors" below as directors;

(ii) FOR the appointment of KPMG LLP, Chartered Accountants, as auditors of the Corporation and authorizing the directors to fix their remuneration; and

(iii) FOR or AGAINST such actions as the nominee thinks fit with respect to any other matter that may properly come before the Meeting, including any amendments or variations to the matters identified in the Notice of Meeting.

VOTING SECURITIES AND PRINCIPAL HOLDERS THEREOF

As at March 25, 2013, the Corporation had 25,416,812 common shares ("Common Shares") outstanding. Each Common Share carries the right to one vote at the Meeting. To the knowledge of the directors and executive officers of the Corporation, the only person who beneficially owns directly or indirectly or exercises control or direction over ten percent (10%) or more of the votes attaching to the Common Shares is Maple Leaf Foods Inc. ("Maple Leaf Foods", "Maple Leaf" or "MLF"), which holds directly or indirectly 22,875,215 Common Shares representing 90.0003% of the issued and outstanding Common Shares. The registered office of Maple Leaf Foods is Suite 1500, 30 St. Clair Avenue West, Toronto, Ontario M4V 3A2.

The directors have fixed the close of business on April 3, 2013 as the record date for the purposes of determining shareholders entitled to receive notice of and to vote at the Meeting. Accordingly, only persons who are holders of Common Shares of record at the close of business on April 3, 2013 are entitled to vote at the Meeting.

NON-REGISTERED SHAREHOLDERS/BENEFICIAL OWNERS

Most shareholders are "beneficial owners" who are non-registered shareholders. The Common Shares of the Corporation held by them are registered in the name of an intermediary, such as a securities broker, financial institution, trustee, custodian or other nominee who holds the shares on their behalf, or in the name of a clearing agency in which the intermediary is a participant (such as CDS Clearing and Depository Services Inc.). Intermediaries have obligations to forward meeting materials to the non-registered holders, unless otherwise instructed by the holder (and as required by regulation in some cases, despite such instructions).

Non-registered holders should follow the directions of their intermediaries with respect to the procedures to be followed for voting. Generally, intermediaries will provide non-registered holders with either: (a) a voting instruction form for completion and execution by the non-registered holder, or enabling voting by alternate means such as telephone or Internet, or (b) a proxy form, executed by the intermediary and restricted to the number of shares owned by the non-registered holder, but otherwise uncompleted. These procedures are designed to permit the non-registered holders to direct the voting of the Common Shares of the Corporation which they beneficially own.

These securityholder materials are being sent to both registered and non-registered shareholders of the Corporation. If you are a non-registered shareholder and these materials were sent directly to you by Canada Bread or its agent, your name and address and information about your holdings of securities have been obtained in accordance with applicable securities regulatory requirements from the intermediary holding shares on your behalf.

By choosing to send these materials to you directly, Canada Bread (and not the intermediary holding shares on your behalf) has assumed responsibility for (i) delivering these materials to you, and (ii) executing your proper voting instructions. Please return your voting instructions as specified in the request for voting instructions.

VOTING AT THE MEETING BY BENEFICIAL OWNERS

Only registered shareholders or their duly appointed proxyholders are permitted to vote in person at the Meeting. If a non-registered shareholder wishes to attend and vote in person at the Meeting, they must insert their own name in the space provided for the appointment of a proxyholder on the voting instruction form or proxy form provided by the intermediary and carefully follow the intermediary's instructions for return of the executed form or other method of response.

BUSINESS OF THE MEETING

ELECTION OF DIRECTORS

The table below sets out the names of the persons proposed for election as directors of the Corporation to serve until the next Annual Meeting of Shareholders of the Corporation or until their successors are duly elected or appointed, unless any such person is not available to act as a director, in which event a substitute may be nominated. **The persons named in the enclosed form of proxy (unless otherwise instructed) intend to vote FOR the election of the nominees whose names are set forth below.**

For each nominee for election as director, the table sets forth as applicable:

- place of residence;
- age;
- present principal occupation and principal occupations held in the last five years, if different;
- a brief description of his or her principal public company directorships, positions and other relevant information;
- the date he or she became a director of the Corporation;
- the number and value of Common Shares beneficially owned[(1)];
- current membership on committees of the board of directors of the Corporation (the "Board") and attendance at meetings of the Board and its committees;
- whether he or she is the Chair of a Committee of the Board;
- other public company board and committee memberships in the past five years; and
- whether he or she is independent within the meaning of applicable securities legislation. Information on each nominee's attendance is set out in the table for the respective nominee.

For information on director assessment, selection, orientation and education, and other corporate governance topics, please see the discussion under the heading "Report on Corporate Governance" below.

The Corporation has adopted a policy for individual director voting that is described in the Report on Corporate Governance found on page 25 of this Circular. Under the policy, if any nominee for director in an uncontested election with respect to whom a majority of the votes represented by proxies validly deposited prior to a meeting of shareholders of the Corporation are "withheld" from voting for his or her election, the nominee shall submit his or her resignation to the Board for consideration promptly following the meeting. The other directors (or, if there are fewer than three such other directors, the entire Board) shall consider whether or not to accept the resignation. A press release disclosing their determination (and the reasons for rejecting the resignation, if applicable) shall be issued within 90 days following the date of the meeting.

Name	Principal Occupation and Biography

William E. Aziz
Age: 56
Residence: Oakville, Ontario, Canada
Director Since 2005
Independent



OCCUPATION: President and Chief Executive Officer, BlueTree Advisors II Inc. *(private management advisory firm)*

BIOGRAPHY: Through BlueTree, Mr. Aziz is currently providing his services as Chief Restructuring Officer of Hollinger Inc. during its restructuring. He was recently appointed to the Leadership Council at the Ihnatowycz Institute for Leadership at the Richard Ivey School of Business, from which he is a graduate in Honours Business Administration. Mr. Aziz is a Chartered Accountant. He has also completed the Institute of Corporate Directors Governance College at the Rotman School of Business, University of Toronto and is a member of the Insolvency Institute of Canada.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:
None

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:
OMERS
Tecumseh Products Company
Sun-Times Media Group, Inc.
No interlocking outside public company directorships[3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2012 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	18/18 – 100%
Board of Directors	7/7 – 100%
Governance Committee	5/5 – 100%
Audit Committee (Chair)	6/6 – 100%

SECURITIES HELD:

Year	Common	Market Value
February 15, 2013	1,430[1]	$72,472[4]
February 15, 2012	1,430	$63,635[4]

Name	Principal Occupation and Biography

Sarah A. Everett
Age: 60
Residence: Toronto, Ontario, Canada
Director Since 1995
Independent



OCCUPATION: Chair of the Executive Committee, Royal Canadian Securities Limited *(privately held holding company)*

BIOGRAPHY: Ms. Everett is a Director and Chair of the Executive Committee of Royal Canadian Securities Limited, based in Winnipeg, Manitoba, which together with its subsidiaries is engaged primarily in retail operations, real estate development and property management. Ms. Everett has previously held positions in the consumer packaged goods industry and was the President and Chairman of Domo Gasoline Corporation Ltd., a privately held chain of retail gasoline outlets. She holds a Bachelor of Arts (Honours) degree from Queen's University and a Master of Arts degree from the University of Toronto.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:
None

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:
None
No interlocking outside public company directorships[3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2012 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	18/18 – 100%
Board of Directors	7/7 – 100%
Governance Committee	5/5 – 100%
Audit Committee	6/6 – 100%

SECURITIES HELD:

Year	Common	Market Value
February 15, 2013	1,600[1]	$ 81,088[4]
February 15, 2012	1,600	$ 71,200[4]

Name	Principal Occupation and Biography
Richard A. Lan Age: 58 Residence: Chatham, New Jersey, USA Director Since 1995 Not Independent 	OCCUPATION: President and Chief Executive Officer of the Corporation and Chief Operating Officer, Food Group, Maple Leaf Foods BIOGRAPHY: Mr. Lan joined Maple Leaf Foods in 1995 and served in several executive capacities until 2006, when he was appointed its Chief Operating Officer, Food Group. Mr. Lan received a Bachelor of Science degree in Accounting from the University of Rhode Island. He was President of Dell Products Corp. until that business was sold to McCain Foods in 1988. Mr. Lan then assumed the position of President and CEO of McCain Citrus, where he remained until he joined Maple Leaf Foods. Mr. Lan is a director of the Tim Horton Children's Foundation. CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES: None DIRECTORSHIPS WITHIN THE PAST 5 YEARS: None *No interlocking outside public company directorships*[3] BOARD AND COMMITTEE MEMBERSHIPS AND 2012 MEETING ATTENDANCE: All Regularly Scheduled Board and Committee Meetings 6/7 – 86% Board of Directors 6/7 – 86% SECURITIES HELD:[2]

Year	Common	Market Value
February 15, 2013	3,500[1]	$ 177,380[4]
February 15, 2012	3,500	$ 155,750[4]

Name	Principal Occupation and Biography
J. Scott McCain Age: 56 Residence: Toronto, Ontario, Canada Director Since 1995 Not Independent 	OCCUPATION: President and Chief Operating Officer, Agribusiness Group, Maple Leaf Foods BIOGRAPHY: Prior to joining Maple Leaf Foods in 1995, Mr. McCain was Vice-President for Production, McCain Foods Limited in Canada. Mr. McCain joined McCain Foods Limited in 1978, where he held progressively senior positions in manufacturing and operations. He is a director of McCain Foods Group Inc. and a member of the Board of Regents at Mount Allison University. CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES: Maple Leaf Foods Inc. DIRECTORSHIPS WITHIN THE PAST 5 YEARS: None *Interlocking outside public company directorships*[3] – Maple Leaf Foods Inc. BOARD AND COMMITTEE MEMBERSHIPS AND 2012 MEETING ATTENDANCE: All Regularly Scheduled Board and Committee Meetings 7/7 – 100% Board of Directors 7/7 – 100% SECURITIES HELD:

Year	Common	Market Value
February 15, 2013	0[1]	$ Nil[4]
February 15, 2012	0	$ Nil[4]

Name	Principal Occupation and Biography

Michael H. McCain
Age: 54
Residence: Toronto, Ontario, Canada
Director Since 1995
Not Independent



OCCUPATION: Chairman of the Corporation and President and Chief Executive Officer, Maple Leaf Foods

BIOGRAPHY: Mr. McCain joined Maple Leaf Foods in April 1995 as President and Chief Operating Officer. Prior to joining Maple Leaf Foods, Mr. McCain spent 16 years with McCain Foods Limited in Canada and the United States and was, at the time of leaving in March 1995, President and Chief Executive Officer of McCain Foods USA Inc. In January 1999, Mr. McCain was appointed Chief Executive Officer of Maple Leaf Foods. He is the Chairman and a director of Canada Bread, a director of McCain Capital Inc., the American Meat Institute, CAMH (Centre for Addiction and Mental Health) Foundation, MaRS Discovery District, the Royal Bank of Canada and the Canadian Council of Chief Executives, and is a member of the Ontario Economic Advisory Panel of the Government of Ontario.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:
Royal Bank of Canada – Member, Risk Committee and Member, Corporate Governance and Public Policy Committee
Maple Leaf Foods Inc.

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:
None
Interlocking outside public company directorships[3] – Maple Leaf Foods Inc.

BOARD AND COMMITTEE MEMBERSHIPS AND 2012 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	7/7 – 100%
Board of Directors	7/7 – 100%

SECURITIES HELD:[2]

Year	Common	Market Value
February 15, 2013	0[1]	$ Nil[4]
February 15, 2012	0	$ Nil[4]

Name	Principal Occupation and Biography

John F. Petch, Q.C., B.A., J.D., LL.M.
Age: 74
Residence: Toronto, Ontario, Canada
Director Since 1995
Independent



OCCUPATION: Lawyer; Chair Emeritus, Board of Governors of the University of Toronto

BIOGRAPHY: Mr. Petch is a senior lawyer specializing in business law. He is currently the lead director of ShawCor Ltd. and director and Vice-Chair of Andrew Peller Limited, both of which are publicly traded companies listed on the Toronto Stock Exchange. Mr. Petch holds B.A., J.D. and LL.M. degrees and has practised extensively with an international law firm in business law, including mergers and acquisitions. He is Chair Emeritus of the Board of Governors of the University of Toronto and Chair of the University of Toronto Asset Management Corporation, a wholly-owned subsidiary of the University of Toronto which manages the University's pension funds, its endowment and other investments, and is past Vice-Chair of its Business Board. He is also past Chair of St. Michael's Hospital, an affiliated hospital of the University of Toronto.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:
ShawCor Ltd. – Member, Corporate Governance Committee
Andrew Peller Limited – Member, Human Resources and Governance Committee

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:
None
No interlocking outside public company directorships[3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2012 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	18/18 – 100%
Board of Directors	7/7 – 100%
Governance Committee (Chair)	5/5 – 100%
Audit Committee	6/6 – 100%

SECURITIES HELD:

Year	Common	Market Value
February 15, 2013	1,500[1]	$ 76,020[4]
February 15, 2012	1,500	$ 66,750[4]

Name	Principal Occupation and Biography
Michael H. Vels Age: 51 Residence: Palgrave, Ontario, Canada Director Since 2007 Not Independent 	OCCUPATION: Chief Financial Officer of the Corporation and Executive Vice-President and Chief Financial Officer, Maple Leaf Foods BIOGRAPHY: Mr. Vels joined Maple Leaf Foods in 1991, during which time he has held senior finance positions of increasing responsibility and was appointed to his current responsibilities as Executive Vice-President and Chief Financial Officer of Maple Leaf Foods in 2004. Mr. Vels was appointed Chief Financial Officer of the Corporation in 1999. He received his Chartered Accountant designation in South Africa in 1985 and worked for several years in the United Kingdom, specializing in mergers and acquisitions. CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES: None DIRECTORSHIPS WITHIN THE PAST 5 YEARS: None *No interlocking outside public company directorships[3]* BOARD AND COMMITTEE MEMBERSHIPS AND 2012 MEETING ATTENDANCE: All Regularly Scheduled Board and Committee Meetings 7/7 – 100% Board of Directors 7/7 – 100% SECURITIES HELD: Year / Common / Market Value February 15, 2013 / 5,000[1] / $253,400[4] February 15, 2012 / 5,000 / $222,500[4]

Notes:

(1) The number of shares reported above as held at February 15, 2013 is equal to the number held as at March 25, 2013, the date of this circular. As of February 15, 2013, the nominees for directors listed above beneficially owned, directly or indirectly, or exercised control or direction over the number of Common Shares indicated in the table above. The information as to Common Shares beneficially owned, not being within the knowledge of the Corporation, has been furnished by the respective directors individually.

(2) Maple Leaf Foods holds 90.0003% of the outstanding common shares of Canada Bread. The Corporation has been informed that McCain Capital Inc. ("MCI") is the owner of 45,998,783 common shares of Maple Leaf Foods, representing approximately 32.84% of all issued and outstanding common shares of Maple Leaf Foods. The Corporation has also been informed that Mr. Michael H. McCain beneficially owns and controls 100% of MCI. (Reference is made to the heading "Voting Securities and Principal Holders Thereof".)

(3) Directors who served together on the board of directors of other publicly traded companies as at March 25, 2013. Messrs. J.S. McCain and M.H. McCain serve on the board of Maple Leaf Foods together.

(4) The closing price of the Common Shares on the Toronto Stock Exchange on February 15, 2012 was $44.50 and on February 15, 2013 was $50.68.

CANADA BREAD COMPANY, LIMITED COMMITTEE MEMBERS AND CHAIRS:

Name	Audit	Governance
W.E. Aziz	Chair	Member
S.A. Everett	Member	Member
J.F. Petch	Member	Chair

N.B. *Messrs. J.S. McCain, M.H. McCain, R.A. Lan and M.H. Vels do not serve on any committees as they are not independent directors.*

INFORMATION REGARDING CERTAIN DIRECTORS

Within ten years preceding the date of this circular:

Mr. Aziz was a director of Doman Industries Limited (2003 and 2004) during the period the company was operating under CCAA protection (granted in 2002) and filed a sanctioned plan of compromise and arrangement (2004). Mr. Aziz was appointed an officer of Atlas Cold Storage Income Trust (2003) when certain officers and directors (not including Mr. Aziz) were the subject of a cease trade order. Mr. Aziz was the Chief Financial Officer of Hollinger Inc. and its subsidiaries from March 2007 to May 2008 and has been the Chief Restructuring Officer of Hollinger Inc. and certain of its subsidiaries since May 2008, which company and certain subsidiaries were granted an initial order under the CCAA on August 1, 2007.

When Mr. Aziz was appointed the Chief Financial Officer of Hollinger Inc. on March 8, 2007, he became subject to a management cease trade order ("MCTO") in respect of Hollinger Inc. which was originally issued on June 1, 2004, by the Ontario Securities Commission and which order remained in place until April 10, 2007, when the MCTO was revoked by the Ontario Securities Commission as a result of Hollinger Inc. filing all documents it was required to file pursuant to Ontario securities laws. Mr. Aziz was subsequently appointed Chief Restructuring Officer of Hollinger Inc. in May 2008, and since that time, the Ontario and Alberta Securities Commissions have issued Permanent Cease Trade Orders against Hollinger Inc., with the consent of that company and approved by the Ontario Superior Court of Justice.

Ms. Everett was Chairman and a director of Tereve Holdings Ltd., a private company which was subject to proceedings under the CCAA in 2005 and subsequently subject to bankruptcy proceedings under the Bankruptcy and Insolvency Act (Canada) in 2006.

APPOINTMENT OF AUDITORS

The Board proposes that KPMG LLP be appointed as auditors of the Corporation and that the shareholders authorize the directors to fix their remuneration. **The persons named in the enclosed form of proxy (unless otherwise instructed) intend to vote to appoint KPMG LLP, Chartered Accountants, Toronto, as auditors of the Corporation to hold office until the next Annual Meeting of Shareholders of the Corporation and to authorize the directors to fix their remuneration.** KPMG LLP was first appointed auditor of Canada Bread in 1995 and has served continuously since then.

For the years ended December 31, 2012 and 2011, the fees paid by the Corporation for the services performed by KPMG LLP are set out in the table below. Annually, the Audit Committee reviews a summary of all services provided by the auditors to the Corporation and its subsidiaries. The Audit Committee has established a policy requiring prior approval by the Committee or the Chairman of the Committee of all non-audit services to be rendered by KPMG LLP.

In the last two years, KPMG LLP has not provided any of the following services to the Corporation: (i) bookkeeping services and other services related to accounting records or financial statements; (ii) financial information systems design and implementation; (iii) appraisal or valuation services, fairness opinions or contribution-in-kind reports; (iv) actuarial services; (v) internal audit outsourcing services; (vi) management functions; (vii) human resources; (viii) broker-dealer, investment advisor or investment banking services; and (ix) legal services and expert services unrelated to the audit.

Description	2012 ($)	2011 ($)
Audit fees[1]	608,632	741,035
Audit-related fees[2]	78,900	91,835
Tax fees[3]	128,272	59,930
All other fees[4]	34,064	–
Total fees	849,868	892,800

Notes:

(1) For the audit of the Canada Bread annual financial statements (including the audits of subsidiaries).

(2) Audit-related services consisting primarily of audit procedures related to audits of financial statements of employee pension benefit plans that are not reported under "Audit fees".

(3) For domestic and international tax planning and compliance services and indirect tax services.

(4) For products and services other than the fees reported in (1) to (3).

DIRECTOR AND EXECUTIVE COMPENSATION

Directors of the Corporation received remuneration for their services during the 2012 financial year in an aggregate amount of $391,000. Retainers for Board and committee service are paid quarterly in arrears. These retainers are paid starting after the election of the directors at each annual meeting and are in respect of service on the Board for the period commencing then and ending on the date of the next annual meeting. The fee schedule was amended effective July 1, 2010. Under the amended fee schedule, fees for attendance at meetings were eliminated.

Fee schedule effective July 1, 2010:

Fee for service as a director	$120,000
Fee for service as Chair of the Audit Committee	$15,000
Fee for service as Chair of the Governance Committee	$10,000
Fee for service as a member of a committee	$1,500

The Governance Committee has recommended that a portion of the annual retainer be used to purchase Common Shares. Directors who are officers of the Corporation or any subsidiary company or of Maple Leaf Foods do not receive fees. Directors are also reimbursed for travel and other out-of-pocket expenses incurred in attending Board or committee meetings.

Name	Fees Earned ($)	Share-Based Awards ($)	Option Board Awards ($)	Non-Equity Incentive Plan Compen-sation ($)	Pension Value ($)	All Other Compen-sation ($)	Total ($)
William E. Aziz	136,500						136,500
Sarah A. Everett	123,000						123,000
John F. Petch	131,500						131,500
Total	391,000	–	–	–	–	–	391,000

EXECUTIVE COMPENSATION

GOVERNANCE PROCESS

General

The Governance Committee serves as the Corporation's compensation committee.

The Chief Executive Officer ("CEO") of the Corporation is also the Chief Operating Officer, Food Group, Maple Leaf Foods, and the Chief Financial Officer ("CFO") of the Corporation is also CFO of Maple Leaf Foods. Compensation decisions regarding the CEO and CFO, in the first instance, are made by the Board and the Human Resources and Compensation Committee of Maple Leaf Foods and then reviewed with the Governance Committee (in this section, the "Committee") of Canada Bread.

The Committee determines the compensation for its other Named Executive Officers ("NEOs") directly. The Corporation's senior employees participate in the equity compensation arrangements of Maple Leaf Foods and decisions regarding levels of participation are made after receiving the recommendation of Canada Bread's CEO.

The Committee reviews all other matters related to employee compensation for the Corporation as a whole, including pension, benefits, equity compensation and incentive plans. In all cases, the compensation systems and philosophy for the Corporation are coordinated with those of Maple Leaf Foods and allow for the free movement of executives and staff between them.

Governance Committee

The Committee consists of three directors, John F. Petch (Chairman), William E. Aziz and Sarah A. Everett, all of whom are independent within the meaning of applicable securities laws and experienced with executive compensation or leadership matters through executive management and service on compensation committees of other public companies.

Experience of Committee Members

Mr. Aziz was a member of the Human Resources Committee of the $56 billion Ontario Municipal Employees' Retirement System (OMERS). In addition, he has prior relevant experience as the Chair of the Governance and Nominating Committee at Tecumseh Products Company in Ann Arbor, Michigan where executive compensation was considered and has acted in senior executive roles where he has dealt extensively with issues of compensation, transition, succession and governance.

Ms. Everett has gained executive compensation experience as result of being a director and Chair of the Executive Committee, Royal Canadian Securities Limited and being the former Chair, Tereve Holdings Ltd which operated a Bowrings chain of retail stores. Ms. Everett is also the former President and owner/operator of Domo Gasoline Corporation Ltd.

Mr. Petch is Chairman of the Governance Committee. He was Vice-Chair of a major Canadian law firm as well as Chair of St. Michael's Hospital and the University of Toronto. His executive compensation experience comes from having served on a number of public company boards of directors. He has served on the Human Resources and Governance Committee of Andrew Peller Limited and the Compensation Committee of ShawCor Ltd., both listed on the Toronto Stock Exchange.

COMPENSATION DISCUSSION AND ANALYSIS

This discussion and analysis aims to help readers understand how the Corporation uses compensation to motivate and reward senior executives.

Compensation Philosophy
Our compensation package is designed to achieve four objectives:

- to attract and retain executive talent;
- to align individual performance with corporate goals and objectives;
- to align the motivations of executives with the best interests of shareholders; and,
- ultimately to reward executives for building sustainable shareholder returns.

The compensation package has four components, each with a different function:

1. Base salary;
2. An annual bonus or short-term incentive plan ("STI");
3. A long-term equity-based incentive plan ("LTIP"); and,
4. Benefits and retirement programs.

The combination of fixed salary and variable incentives for each executive position reflects the capacity of the individual to influence business results over the short and long term: the more senior the position, the higher the proportion of compensation based on variable incentives and the more significant the portion of pay at risk. The CEO's compensation has the highest proportion of variable pay given his role as strategic leader. The incentive package is also heavily weighted to the equity-based LTIP, which encourages long-term strategic thinking. In fact, the LTIP provides an executive with the most potential to improve his or her total compensation package.

The compensation of every executive is based on a comprehensive evaluation of performance. This includes an assessment of performance against objectives as well as adherence to the Corporation's values. The Board establishes objectives each year based on key strategic priorities ("Board Goals"). Board Goals apply to business units, functions and the Corporation as a whole. Subsets of the Board Goals become individual goals for NEOs and other executives. While achieving Board Goals is not included in the formula for determining short-term incentive pay, it is a key factor in assessing individual performance and in aligning compensation.

Risks associated with Compensation Plans
The Board and the Committee assess the compensation programs to ensure that they do not promote decisions or behavior not in the best interests of the Corporation. To avoid excessive costs to the Corporation and excessive compensation to executives, all annual bonuses have maximum payout amounts. All non-recurring, unusual or other items that impact earnings are considered when assessing performance and determining short-term and long-term incentive payments. NEOs might be required to return short-term incentive payments if results are restated.

Benchmarking Compensation and Peer Groups
The Corporation targets executive compensation at the median of the peer group for base salary and incentives (short-term and long-term), while recognizing and rewarding performance and contribution through above-median salary and variable compensation.

Benchmarking Compensation for the CEO & CFO
Three comparator groups have been used by Maple Leaf Foods to benchmark compensation for the CEO and CFO who are the Chief Operating Officer, Food Group and CFO of Maple Leaf Foods respectively. This benchmark data is collected from Canadian and American companies, which is the marketplace in which the Corporation competes to retain and recruit talented executives. Also influencing the choice of peer companies is the complexity of the Corporation's operations and the much larger size of many peers. Given this landscape, there are three groups of companies to benchmark CEO and CFO compensation.

Comparator Group 1: Full Industry Specific Group
The first group comprises the companies in the S&P Food Index. This index includes companies from Standard and Poor's three major U.S. indices: the S&P 500, S&P Midcap 400 and S&P 600 Smallcap. This peer group also includes

relevant Canadian companies in the food products industry who are within a reasonable size range, compete for the same customers with similar products, and compete with Maple Leaf Foods for talent. This peer group is reviewed every year and adjusted if necessary to maintain relevance and alignment with the S&P Food Index.

Comparator Group 1: Full Industry Specific Group[1]

S&P Food Index (Food Products)	Archer Daniels Midland Company	The Hain Celestial Group, Inc	Mead Johnson Nutrition Company
	B&G Foods Inc.	H.J. Heinz Company	Post Holdings Inc.
	Calavo Growers Inc.	Hershey Co.	Ralcorp Holdings Inc.
	Cal-Maine Foods, Inc.	Hillshire Brands Company	Sanderson Farms, Inc.
	Campbell Soup Co.	Hormel Foods Corp.	Seneca Foods Corp.
	ConAgra Foods, Inc.	Ingredion Incorporated	Smithfield Foods Inc.
	Darling International Inc.	J&J Snack Foods Corp.	Snyder's-Lance, Inc
	Dean Foods Company	The J.M. Smucker Company	Tootsie Roll Industries
	Diamond Foods, Inc.	Kellogg Company	Treehouse Foods, Inc.
	Flowers Foods, Inc.	Kraft Foods Inc.	Tyson Foods Inc.
	General Mills, Inc.	Lancaster Colony Corporation	
	Green Mountain Coffee Roasters	McCormick & Co. Inc.	
Canadian Comparators	Cott Corporation	George Weston Limited	Saputo, Inc.

Note:
(1) As at August 1, 2012.

Comparator Group 2: Tailored Industry Specific Group

A second group excludes companies from the S&P Food Index with annual revenue greater than four (4) times or less than one-quarter (¼) Maple Leaf Foods' annual revenue. In 2012, this created a group of 25 companies of more comparable size and scope.

Comparator Group 2: Tailored Industry Specific Group

S&P Food Index (Food Products)	Campbell Soup Co.	H.J. Heinz Company	Ralcorp Holdings Inc.
	ConAgra Foods, Inc.	Hershey Co.	Sanderson Farms, Inc.
	Darling International Inc.	Hormel Foods Corp.	Seneca Foods Corp.
	Dean Foods Company	Hillshire Brands Company	Smithfield Foods Inc.
	Flowers Foods, Inc.	Ingredion Incorporated	Snyder's-Lance, Inc.
	General Mills, Inc.	Kellogg Company	The J.M. Smucker Company
	Green Mountain Coffee Roasters	McCormick & Co. Inc.	Treehouse Foods, Inc.
	The Hain Celestial Group, Inc.	Mead Johnson Nutrition Company	
Canadian Comparators	Cott Corporation	Saputo, Inc.	

Comparator Group 3: Canadian General Industry

Information about compensation policies and packages at Canadian companies with annual revenue comparable to Maple Leaf Foods is incorporated into the benchmarking process to provide additional perspective.

Benchmarking Compensation for NEOs (excluding the CEO & CFO)

The comparator groups used to benchmark compensation for the NEOs other than the CEO and CFO are listed below.

Position	Comparator Group	Benchmark Data[(1)]
President, Fresh Bakery	Canadian Comparators	Canadian Mercer Benchmark Database for companies with revenue between $500 million and $2 billion
	US Comparators	Mercer US Benchmark Database for companies with revenue between $500 million and $2.5 billion
President, Frozen Bakery	Canadian Comparators	Canadian Mercer Benchmark Database for companies with revenue between $250 million and $1.25 billion
	US Comparators	Mercer US Benchmark Database for companies with revenue between $100 million and $1 billion
President, Maple Leaf Bakery UK	UK Comparators	Mercer Total Remuneration Survey ("TRS") for the UK

Note:
(1) Mercer, the provider of the database, has advised that it cannot disclose the identity of actual organizations within a specific revenue range due to confidentiality covenants with survey participants.

ELEMENTS OF COMPENSATION

The four main components of the Corporation's executive compensation program are referred to as "Total Direct Compensation".

Base Salary

The median (50th percentile) base salary in each comparator group provides a context for setting the base salaries of the NEOs. A number of other factors are then considered to make adjustments:

a) An evaluation of the executive's responsibility, experience, contribution and performance during the year;

b) The financial performance of the Corporation, including its ability to absorb costs;

c) Market trends related to base salaries; and

d) The Committee's assessment of internal equity between positions of similar scope.

The weight given to each factor is not defined by a fixed formula; the Committee uses its business judgment. The annual salary adjustment date is the start of the pay period in which July 1st occurs.

Short-term Incentive (STI)

The Corporation's annual STI plan links executive pay to the achievement of annual business objectives. The award is at risk and paid only if the objectives are met.

The amount of STI awarded depends on performance. Performance exceeding established goals will lead to above-target payments. Performance below established goals will lead to below-target payments, which can be zero if goals are not substantially achieved. The award is paid in cash.

STI payments are based on earnings before tax adjusted for the impact of restructuring and other related costs ("Adjusted EBT") compared to budget. The target Adjusted EBT and minimum acceptable performance for triggering an STI payout is reviewed annually.

In 2012, 100% of the STI for all NEOs as well as other executives of the Corporation was tied to the achievement of business objectives. This created 100% alignment between STI compensation and shareholder interests. These executives also establish individual goals, but achieving these goals does not influence their STI payments. The STI payments to employees below the executive level include an individual performance component.

There are three potential components of an employee's STI payment:

- Maple Leaf Foods team result: The performance of Maple Leaf Foods is a component of the payment received by every employee participating in the STI plan;
- Business Unit team result: The payment to STI participants with specific business unit responsibilities might also reflect the performance of their business unit(s); and
- Individual result: Payments to STI participants below the executive level will also reflect performance against personal goals. The personal goals are business related and reflect objectives over which the participant has direct control.

The table below summarizes the target range and weighting of team versus individual objectives.

COMPONENTS OF THE 2012 STI PLAN

	Target Payout Ranges – As a % of Base Salary for Various Performance Levels				Weightings of Components		
	Below Threshold Performance	At Threshold Performance	At Target Performance	At Maximum Performance	MLF Team %	BU Team %	Individual %
NEOs							
CEO and CFO	0%	35%	80%	125%	100%	–	–
Presidents	0%	25%	60%	95%	25%	75%	–
Other Executives	0%	10%	35%	60%	25%	75%	–
Below Executive	0%	2% ~ 10%	6% ~ 25%	10% ~ 40%	25%	50%	25%

Effective January 1, 2013 the weighting of STI plan components will change to balance the Maple Leaf Foods' team result and the business unit team result. This will increase the alignment of all employees covered by the STI plan with the success of Maple Leaf Foods which includes the Corporation.

COMPONENTS OF THE 2013 STI PLAN

	Target Payout Ranges – As a % of Base Salary for Various Performance Levels				Weightings of Components		
	Below Threshold Performance	At Threshold Performance	At Target Performance	At Maximum Performance	MLF Team %	BU Team %	Individual %
NEOs							
CEO and CFO	0%	35%	80%	125%	100%	–	–
Presidents	0%	25%	60%	95%	50%	50%	–
Other Executives	0%	10%	35%	60%	50%	50%	–
Below Executive	0%	2% ~ 10%	6% ~ 25%	10% ~ 40%	37.5%	37.5%	25%

Claw-Back

The Board can ask an executive to give all or a portion of an STI payment back to the Corporation if the STI amount was based on financial results that are subsequently restated and the payment would have been lower had the financial results been properly reported. The restatement must be due entirely or partially to gross negligence, intentional misconduct or fraud. The decision to exercise this right is at the discretion of the Board.

Long-term Incentive Plan

The goal of the LTIP is to retain effective executives and attract new talent. Similar to the STIP, it is also based on performance and is, therefore, at risk.

LTIP payouts for grants from 2010 or earlier are based on Maple Leaf Foods' Total Shareholder Return ("TSR") relative to the total return for the S&P Food Index over three years. The TSR is the total gain or loss to a shareholder arising from the change in the Maple Leaf Foods share price plus dividends paid.

The LTIP was changed in 2011 to strengthen the alignment between the long-term interests of executives and shareholders by linking awards to the achievement of the Maple Leaf Foods value creation plan. The LTIP for NEOs now comprises 25% Restricted Share Units ("RSUs"), 25% Performance Share Units ("PSUs") and 50% time-vested stock options ("Options").

The number of RSUs, PSUs and Options awarded to an executive is based on four factors:

- an assessment of individual performance and potential;
- the expected value of similar awards at the median and the 75th percentile in the benchmark groups;
- the expected value of the award; and,
- the amount of previous grants.

The number and value of the RSUs, PSUs and Options awarded considers the performance of the executive and could be higher or lower than the benchmark median. Executives who tend to deliver superior performance will tend to receive above-median awards.

RSUs are time vested over three years. For each RSU granted, one common share is awarded on maturity.

PSUs are performance-vested based on cumulative results as measured by two metrics over a three (3) calendar year period for Maple Leaf Foods as a whole, including the results of Canada Bread:

- 80% weighting on Return on Net Assets ("RONA"); and
- 20% weighting on Earnings before Interest Taxes Depreciation and Amortization ("EBITDA") margin.

To align LTIP awards to a three (3) calendar year performance period, the start of the LTIP grant process was moved to the beginning of the calendar year in 2013. The LTIP grants that would have been awarded in October of 2012 were delayed to January 2013. As a result of this change, executives did not receive an LTIP award in calendar year 2012. Readers should note that the Summary Compensation table on page 18 does not include any amounts for the grant made on January 7, 2013. However, the grants are disclosed in footnote (2) and (3). It is expected that in the future, annual grants will be at the start of the year.

The performance period for the January 2013 award comprises the calendar years 2013, 2014 and 2015. Threshold, Target and Maximum performance levels are based on Maple Leaf Foods' 2013 budget commitments, as well as the EBITDA margin targets for 2014 and beyond. The cumulative targets for PSUs granted in January 2013 are included in the following table.

Performance Level Average 2013-15	Threshold	Target	Maximum
RONA (80%)	10.2%	12.8%	14.0%
EBITDA Margin (20%)	9.2%	10.6%	11.4%

Vesting of PSUs is based solely on achieving the cumulative performance target over the three (3) year period. The number of PSUs will be prorated for performance between levels with one common share awarded for each PSU that vests. The percentages of the PSUs that will vest at various levels of performance are as follows:

- Below threshold: 0%;
- At threshold: 50%;
- At target: 100%; and,
- At or above maximum: 200%.

The options granted in 2013 are time vested. One third (1/3) of the options awarded will vest each year. The exercise price is the weighted average trading price of the Maple Leaf Foods common shares on the Toronto Stock Exchange ("TSX") for the five (5) days prior to the date of grant. The options granted in 2013 have a term of seven (7) years.

The implementation of PSUs and RSUs that vest over three years and options with seven-year terms balance relatively frequent rewards for performance and longer-term strategic behaviour that is designed to deliver sustainable earnings improvement and shareholder returns.

Actual compensation received depends on the share price at the time the RSUs and PSUs vest, as well as the share price at the time vested options are exercised.

All RSUs and PSUs granted in 2013 that have vested will be distributed as shares in May 2016. Shares required for distributions are purchased on the TSX by a trust established for the purpose. This is done to avoid diluting shareholder interest.

Policy on Hedging LTIPs

The Corporation's insider trading policy prohibits NEOs and other executives from entering into call and put options, including options intended to hedge or offset the effect of a decline in market value of LTIP awards. Executives are not otherwise prohibited from purchasing financial instruments as a hedge.

2012 Total Direct Compensation Mix

The table below shows the mix of compensation for NEOs and other executives in 2012 at the target levels for each direct compensation element. To make the analysis meaningful, the January 2013 equity compensation grants deferred from October 1, 2012 have been included.

2012 Compensation[1] As a Percentage of Total Direct Compensation[2]		
	Variable Compensation	Non-Variable (Fixed) Compensation
CEO[3]	79%	21%
CFO[3]	73%	27%
President, UK Bakery	56%	44%
President, Frozen Bakery	57%	43%
President, Fresh Bakery	65%	35%

Notes:

(1) In this table, compensation amounts are calculated assuming target performance is achieved.

(2) Includes base salary, STI and LTIP at the expected value. The amounts in the table were calculated including the LTIP award granted January 2013. The annual LTIP grant was deferred from October 2012, the time when it normally would have been granted. The amount of the LTIP grants made in January 2013 are found in footnotes (2) and (3) on page 18.

(3) Mr. Lan is CEO of the Corporation as well as Chief Operating Officer, Food Group, Maple Leaf Foods. Mr. Vels, the CFO of the Corporation, is also CFO of Maple Leaf Foods. Their compensation is paid by Maple Leaf Foods, with a portion borne by the Corporation through a shared services agreement.

Indirect Compensation

Benefits and Perquisites

Benefits and perquisites are not intended to form a significant part of overall compensation. Executives are provided the same group insurance benefits as other salaried employees. Benefits and perquisites are provided in accordance with a written policy, and selected on the basis of cost effectiveness.

Perquisites include a car benefit, annual medical examination and a lump sum allowance toward reimbursement of a club membership and financial counseling. The total value of benefits and perquisites for each NEO is below the lesser of $50,000 and 10% of their base salary.

In 2012, Maple Leaf Foods determined that for a number of years it had not made certain payroll tax deductions and remittances in all required jurisdictions for certain of its cross-border employees who are required by the Corporation to perform some of their work away from their home base. This includes Richard Lan who is Chief Operating Officer, Food Group for Maple Leaf Foods and CEO of the Corporation. Maple Leaf Foods made the necessary corrections and implemented a tax equalization policy under which it reimburses employees for the net additional taxes that result from work in a foreign jurisdiction. Under the policy, the tax cost associated with travel and accommodation to the distant location for the purpose of work is also reimbursed. The Corporation bears a portion of these costs through its shared services agreement with Maple Leaf Foods.

Retirement Income/Savings Arrangements

Pension benefits provided to executives are non-discriminatory which means that NEOs participate in the pension arrangements available to substantially all of the Corporation's salaried employees. The Corporation provides 100% of NEO contributions to the plan. Employees with annual salaries that exceed the maximum amount against which they can contribute to registered plans under the *Income Tax Act* (Canada) contribution limits can also participate in supplemental retirement arrangements. Annual cash STI payments are excluded from retirement programs.

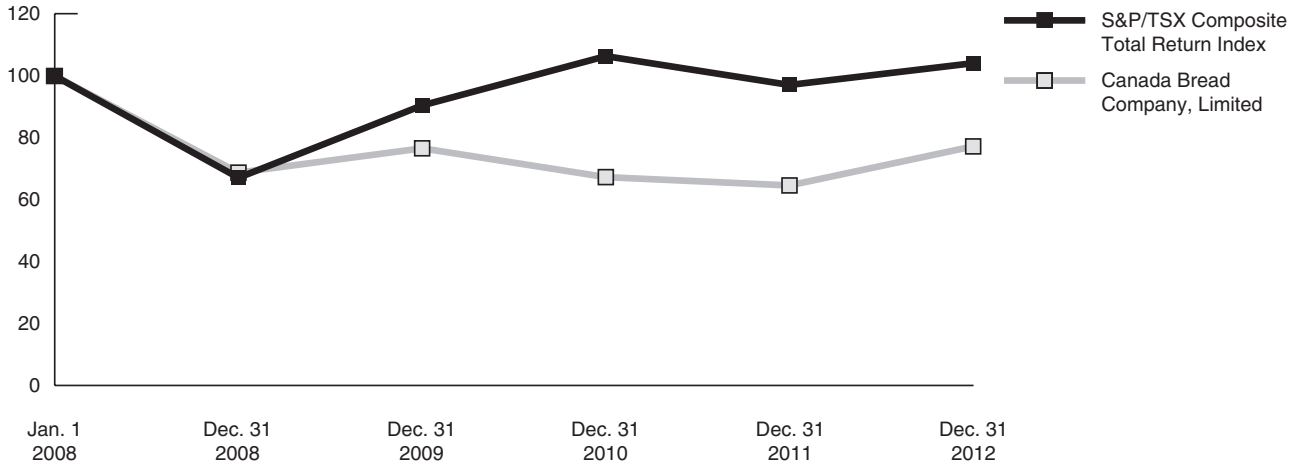
The Corporation has long recognized the risk associated with defined benefit pension plans. As a result, these plans have been closed to new employees since April 2004. Employees who belonged to those plans prior to April 2004 and elected to remain in the plan continue to accrue benefits.

McCain Capital Arrangements with Richard Lan

In December 2012, the Human Resources and Compensation Committee of Maple Leaf Foods learned that Mr. Richard Lan, a NEO, is an officer and director of MCI, Maple Leaf Foods' largest shareholder, and that prior to December 2011, Mr. Lan was an officer, director and shareholder of McCain Capital Corporation ("MCC"), the predecessor to MCI. Mr. Lan has received, and continues to receive, compensation from MCI for the services Mr. Lan provides to MCI and Mr. Lan had previously received compensation from MCC for the services Mr. Lan provided to MCC. The compensation paid by MCC and MCI to Mr. Lan, respectively, was and is, at their sole cost and discretion. Neither the Maple Leaf Foods board of directors nor its compensation committee nor the Corporation nor any of its committees had any involvement in either granting or approving such compensation. Maple Leaf Foods and its board and compensation committee and the Corporation believe that the compensation that Maple Leaf Foods has provided and continues to provide to Mr. Lan (excluding the compensation from MCC and MCI) fully and adequately compensates Mr. Lan for the position he holds with Maple Leaf Foods and the position he holds with the Corporation.

SHARE PERFORMANCE TABLE

The following chart compares the total cumulative shareholder return of $100 invested in Common Shares for the period January 1, 2008, to December 31, 2012, with the cumulative total return of the S&P/TSX Composite Total Return Index for the same period. The Common Shares closed at $50.34 on the TSX on December 30, 2012, the last trading day prior to the end of the fiscal year.



	Jan. 1 2008	Dec. 31 2008	Dec. 31 2009	Dec. 31 2010	Dec. 31 2011	Dec. 31 2012
S&P/TSX Composite Total Return Index	100.0	67.0	90.5	106.4	97.1	104.1
Canada Bread Company, Limited	100.0	68.7	76.5	67.3	64.6	77.2

Comparison of Executive Compensation and Shareholder Returns

For the five years of compensation in the measurement period, compensation of the five executives who were NEOs decreased by 27%, while the total shareholder return on the Corporation's shares was a loss of 23%. The following table shows the shareholder return and total compensation for that period. Much of the variability in the aggregate reported compensation for the NEOs is attributable to the annual STI plan. Payouts for the plan were low in 2008 and 2012. Also, in 2012 the LTIP awards were deferred to 2013.

It is important to note that the total compensation includes the full earnings for both the CEO and the CFO, who are paid by the Corporation's parent company, Maple Leaf Foods. Compensation decisions regarding the CEO and CFO are made by the Board and the Human Resources and Compensation Committee of Maple Leaf Foods and then reviewed with the Governance Committee of Canada Bread. The CEO's and CFO's compensation is borne partially by Canada Bread and partially by Maple Leaf Foods through a shared services agreement.

	Total 2008-2012	2012	2011	2010	2009	2008
Total Shareholder Return:						
S&P/TSX Composite Total Return Index	4%	7%	-9%	18%	35%	-33%
Canada Bread [(1)]	-23%	19%	-4%	-12%	11%	-31%
Total Compensation for All NEOs ($ millions) [(2)]	$ 46.1	$ 6.7	$ 9.6	$ 10.4	$10.8	$ 8.6

Notes:

(1) Total shareholder return is calculated on the basis of the year-end share value with dividends reinvested. The amount in the "Total 2008–2012" column is the aggregate simple return over the five-year period.

(2) The total compensation shown for all NEOs is the total compensation as that term is defined for purposes of the summary compensation table for the executives who were NEOs in the year reported.

SUMMARY COMPENSATION TABLE

The following table provides a summary of compensation earned during each of the last three fiscal years by the CEO, the CFO and the three most highly compensated executive officers other than the CEO and CFO, including any individual who held the particular position during the year. The CEO, CFO and other executive officers are referred to collectively as the "NEOs". This information is given as of December 31, 2012, the end of the most recently completed financial year of the Corporation.

Name and Principal Position	Year	Salary	Share-based awards[2]	Option-based awards[3]	Annual incentive plans	Long-Term incentive plans	Pension Value[4]	All other compensation[5][7]	Total compensation
R.A. LAN[6][1]	2012	863,613	–	–	–		9,996	2,974,983	3,848,592
President, Chief	2011	840,709	1,277,530	1,287,611	584,293	–	9,693	–	3,985,761
Executive Officer	2010	862,826	2,790,520	–	739,649	–	10,093	–	4,405,098
M.H. VELS[6]	2012	670,852	–	–	–	–	111,873	–	782,725
Executive Vice	2011	660,000	660,418	658,944	458,700	–	34,878	–	2,472,940
President, and Chief Financial Officer	2010	652,429	1,265,036	–	621,060	–	97,000	–	2,637,535
P. BAKER[1]	2012	360,854	–	–	–	–	–	–	360,854
President,	2011	366,541	110,431	114,048	109,141	–	–	–	700,160
UK Bakery	2010	356,079	218,591	–	113,827	–	–	–	688,497
D.J. CURTIN[1]	2012	329,872	–	–	102,583	–	9,996	–	442,451
President,	2011	302,652	200,291		52,833	–	9,693	–	565,468
Frozen Bakery *(from July 2012)*	2010	301,712	194,174		154,669	–	10,093	–	660,648
C.B. McLEAN	2012	564,552	–	–	138,690		98,708		801,950
President,	2011	548,800	357,275	357,984	72,150		99,369		1,435,578
Fresh Bakery	2010	527,900	654,609		392,623		99,107	14,896	1,691,146
R.G. MENARD	2012	297,423	–	–	139,610		59,783		496,816
President,	2011	414,500	236,563	164,736	113,613		82,018		1,011,430
Frozen Bakery *(to July 2012)*	2010	399,750	348,815		162,503		76,244		989,322

Notes:

(1) All compensation shown for Mr. Lan and Mr. Curtin, other than equity-based compensation amounts, is paid in U.S. dollars. The amounts in the table above were converted to Canadian dollars using the average exchange rate of the U.S. dollar expressed in Canadian dollars for the year: 0.9996 in 2012, 0.9891 in 2011 and 1.0299 in 2010. Mr. Baker is based in the U.K. and paid in pounds sterling. The amounts in the table above were converted to Canadian dollars using the average exchange rate of the pound sterling expressed in Canadian dollars for the year: 1.58399 in 2012, 1.58607 in 2011 and 1.59177 in 2010. In the table below under the heading "Summary Compensation Table – Supplemental Information", Mr. Lan's and Mr. Curtin's compensation is shown in U.S. dollars and Mr. Baker in pounds sterling.

(2) To align LTIP awards to a three (3) calendar year performance period, the start of the LTIP grant process was moved to the beginning of the calendar year in 2013. The LTIP grants that would have been awarded in October of 2012 were delayed to January 2013. As a result of this change, executives did not receive an LTIP award in calendar year 2012. Future LTIP awards are expected to be issued in January of each year. The expected value of the RSUs and PSUs granted to the NEOs on in January 2013 are: Mr. Lan, $1,275,750, Mr. Vels, $659,363, Mr. Baker, $124,408, Mr. Curtin, $124,408, and Mr. McLean, $349,474.

(3) As noted in footnote (2) above, the LTIP grant was deferred to January 2013. The expected value of the options granted to the NEOs in January 2013 are: Mr. Lan, , $1,274,612, Mr. Vels, $660,158, Mr. Baker, $125,261, Mr. Curtin, $125,261, and Mr. McLean, $350,391.

(4) Mr. Lan and Mr. Curtin participate in the defined contribution pension plans of the Corporation. Mr. McLean and Mr. Ménard are members of the Canada Bread defined benefit pension plans, while Mr. Vels belongs to the Maple Leaf Foods defined benefit pension plans. The amount in the table above represents the compensatory pension expense related to the service for each of the NEOs, including the impact of differences between actual compensation paid in the year and the actuarial assumptions used for that year. The amounts shown for Mr. Lan and Mr. Curtin are for the Corporation's contribution to a defined contribution 401(k) plan in the United States. Mr. Baker does not participate in any pension plan.

(5) The table does not include the value of perquisites, which are less than $50,000 and less than 10% of salary for all executives.

(6) Messrs. Lan and Vels do not receive any separate or additional compensation for service on the Board of the Corporation as a director.

(7) In 2012, Maple Leaf Foods determined that for a number of years it had not made certain payroll tax deductions and remittances in all required jurisdictions for certain cross-border employees who are required by it to perform some of their work away from their home base, including Mr. Lan, the CEO of the Corporation. Maple Leaf Foods made the necessary corrections, paid the required payroll tax remittances and implemented a tax equalization policy under which it reimburses employees for the net additional taxes that result from work in a foreign jurisdiction. The Corporation bears a portion of these costs through its shared services agreement with Maple Leaf Foods.

The tax equalization cost related to the 2012 tax year for Mr. Lan was $543,400. In addition, the cost of the tax equalization for the 2005 through 2011 period incurred in 2012 was $2,602,935. During 2012, Mr. Lan's principal office was relocated from the US to the Greater Toronto Area ("GTA") in Canada. Maple Leaf Foods considers Mr. Lan's travelling costs from his home base in the U.S. to Canada and work-related accommodation in the GTA to be primarily for Maple Leaf Foods' benefit, and pays for those costs and has reimbursed Mr. Lan for related income taxes. The tax reimbursement is included in the $2,974,983 amount for All Other Compensation paid to Mr. Lan and reported above.

SUMMARY COMPENSATION TABLE – SUPPLEMENTAL INFORMATION

Name and Principal Position	Year	Salary	Share-Based Awards	Option-Based Awards	Annual Incentive Plans	Long-Term Incentive Plans	Pension Value	All Other Compen-Pension sation	Total Compen-sation
USD $									
R.A. Lan	2012	863,976	–	–	–		10,000	2,976,233	3,850,209
President and Chief	2011	850,000	1,291,649	1,287,611	590,750		9,800		4,029,810
Operating Officer,	2010	837,745	2,709,403		718,148		9,800		4,275,096
Food Group									
D.J. Curtin	2012	330,011	–		102,626		10,000		442,637
President,	2011	305,997	198,101		53,417		9,800		567,315
Frozen Bakery	2010	292,941	188,529		150,173		9,800		641,444
GBP £									
P. Baker	2012	227,813	–	–	–		–		227,813
President,	2011	231,100	69,625	71,906	68,812	–	–	–	441,443
Maple Leaf Bakery UK	2010	223,700	137,326	–	71,510	–	–	–	432,536

SHARE-BASED INCENTIVE PLANS

Maple Leaf Foods has a number of equity incentive plans for its employees and the executive officers and employees and executive officers of its subsidiaries (including Canada Bread). There are currently two plans under which awards are outstanding: the 2004 Share Incentive Plan and the 2006 RSU Plan. The 2004 Share Incentive Plan provides for the grant of options and RSUs that are satisfied by the issuance of shares of Maple Leaf Foods Inc. from treasury. The 2006 RSU Plan provides for the grant of time or performance vested RSUs and performance vested PSUs that are satisfied through the acquisition of shares in the market by a trust established for that purpose. From 2006 to 2010, share options were not granted as performance vested RSUs were used as the exclusive equity based long term compensation. In 2011, time vested options, time vested RSUs and performance vested PSUs were granted. The options were granted under the 2004 Share Incentive Plan and the RSUs and PSUs were granted under the 2006 RSU Plan.

The share options that expired in 2012 and RSUs granted before 2011 are subject to a performance condition whereby vesting is based on the TSR of the Maple Leaf Foods shares for the period compared with the total return of the S&P Food Index, as described above. The share options granted in 2011 (expiring in 2018) and the RSUs granted in 2011 are subject to time vesting only. The PSUs granted in 2011 have a performance vesting feature based on the achievement of three year EBITDA margin and RONA targets.

OUTSTANDING RSUs AND SHARE OPTIONS

	Option Based Awards				Share-Based Awards[5]			
Name	Number of Securities Underlying Unexercised Options #	Option Exercise Price $	Option Expiration Date[1]	Value of unexercised in-the-Money Options[2] $	Type of Award	Date of Grant	Number of Shares or Units of Shares That Have Not Vested[3] #	Market or Payout Value of Share-Based Awards That Have Not Vested[4] $
Lan, R.A.	402,000	$11.36	October 1, 2018	245,220	RSU	October 1, 2010	360,000	4,309,200
					PSU	October 1, 2011	118,000	1,412,460
					RSU	October 1, 2011	59,000	706,230
Vels, M.H.	208,000	$11.36	October 1, 2018	126,880	RSU	October 1, 2010	163,200	1,953,504
					PSU	October 1, 2011	61,000	730,170
					RSU	October 1, 2011	30,500	365,085
Baker, P.	36,000	$11.36	October 1, 2018	21,960	RSU	October 1, 2010	28,200	337,554
					PSU	October 1, 2011	10,200	122,094
					RSU	October 1, 2011	5,100	61,047
Curtin, D.J.	0	$11.36	October 1, 2018	0	RSU	October 1, 2010	25,050	299,849
					PSU	October 1, 2011	18,500	221,445
					RSU	October 1, 2011	9,250	110,723
McLean, C.B.	113,000	$11.36	October 1, 2018	68,930	RSU	October 1, 2010	84,450	1,010,867
					PSU	October 1, 2011	33,000	395,010
					RSU	October 1, 2011	16,500	197,505
Ménard, R.G.	52,000	$11.36	October 1, 2018	31,720	RSU	October 1, 2010	45,000	538,650
					RSU	March 1, 2011	6,000	71,820
					PSU	October 1, 2011	15,200	181,944
					RSU	October 1, 2011	7,600	90,972

Notes:

(1) All options were granted with a term of seven years but expire earlier if the executive ceases to be an employee. The options that expire in 2018 vest in equal annual installments in 2012, 2013 and 2014.

(2) The in-the-money value was calculated using the December 31, 2012 closing share price ($11.97) of the Maple Leaf Foods shares on the TSX.

(3) RSUs have been granted under the Maple Leaf Foods Inc. 2006 RSU Plan. The RSUs granted in 2011 are subject to time-vesting conditions only. They will vest and shares will be distributed to employees that hold the units in May 2014. PSUs granted in 2011 have vesting based on the achievement of three-year targets for EBITDA margin and RONA for all of Maple Leaf Foods including the Corporation. If the minimum level of achievement is not reached, no shares will vest. If the actual performance exceeds the maximum performance level, two (2) shares vest for each PSU held. The number of shares shown in the table above is the maximum number of shares that will be distributed, assuming Maple Leaf Foods's performance exceeds the maximum performance level. (The performance criteria are more fully described on under the heading Long Term Incentive Plan on page 14 of this Circular.) For each RSU granted in 2010, one share is awarded on maturity if Maple Leaf Foods's performance equals the S&P Food Index. At 75% performance or below, one-half share vests and is awarded. At 125% performance, the maximum one and one-half shares vest and are awarded. Vesting is prorated if performance is between 75% and 100% or 100% and 125%. Three years following the date of grant, all RSUs vesting pursuant to the formula above will vest and be distributed. The RSUs only vest fully on the distribution date, and an executive who ceases to be an employee prior to the distribution date forfeits the awards. The number of shares shown in the table above is the maximum number of shares that will be distributed, assuming Maple Leaf Foods' share price performance exceeds the 125% maximum.

(4) In respect of the RSUs and PSUs granted, the "market or payout value" is based on:

  (i) the Maple Leaf Foods share price at December 31, 2012 on the TSX of $11.97; and,

  (ii) the minimum number of shares that will be distributed. (In respect of the RSUs granted in 2010, the minimum number will be distributed one-half (a share for each RSU) if the Maple Leaf Foods' share price performance for all performance periods ending after December 31, 2012, is below the 75% minimum described in footnote (3) above. As they are time vested, the minimum number of shares to be distributed in respect of the RSUs granted in 2011 equals the number granted. Under the performance vesting formula, the minimum number of shares that may be distributed on the maturity of the PSUs granted in 2011 is zero.)

(5) The share-based RSUs and PSUs are distributed immediately on vesting in the form of shares. There are no undistributed vested awards.

INCENTIVE PLAN AWARDS – VALUE VESTED OR EARNED IN THE YEAR

Name	Option-Based Award – Value Vested During the Year	Share-Based Award – Value Vested During the Year[1]	Non-Equity Incentive Plan Compensation – Value Earned During the Year[2]
		$	$
R.A. Lan	–	1,745,600	–
M.H. Vels	–	790,975	–
P. Baker	–	212,745	–
D.J. Curtin[3]	–	121,647	102,583
C.B. McLean	–	393,851	138,690
R.G. Ménard	–	248,203	139,610

Notes:

(1) In 2012, RSUs granted on October 1, 2009 vested and the shares were distributed to the participants. The amount in the table reflects the value of the shares distributed using the average trading price of the shares of Maple Leaf Foods on the TSX on the date of distribution – $10.91 per share for shares distributed on November 15, 2012.

(2) The amounts in this column represent the payments under the STI annual plan, the details of which are described under the subheading "Short-Term Incentive (STI)" on pages 13 to 14 of this Circular. Due to the below-budget performance of Maple Leaf Foods and the UK Bakery operations, no STI amounts were paid for 2012 for Messrs. Lan, Vels and Baker.

(3) Mr. Curtin is paid in USD. The amounts in the table are in Canadian dollars.

PENSION PLANS

Mr. Lan participates in Maple Leaf Foods' qualified 401(k) plan in the United States. Mr. Vels participates in Maple Leaf Foods' registered defined benefit and non-registered supplemental defined benefit plans in Canada. Messrs. McLean and Ménard participate in the Corporation's registered defined benefit plan, and non-registered supplemental defined benefit plans in Canada. Mr. Baker elected not to participate in the Maple Leaf Foods' pension plan in the United Kingdom. Each of the defined benefit plans applies to a closed group of salaried employees.

PENSION TABLE – DEFINED BENEFIT PLANS

The table below shows the following for each NEO participating in the Corporation's and Maple Leaf Foods', as applicable, defined benefit pension plans:

- Years of credited service as at December 31, 2012 and at the NEO's age of 65;
- Estimated annual benefit accrued, or earned, for service up to December 31, 2012 and up to the normal retirement age of 65; and,
- A reconciliation of the accrued obligation from December 31, 2011 to December 31, 2012.

Name	Number of Years of Credited Service[1]		Annual Benefits Payable[2]		Opening Present Value of Defined Benefit Obligation[3]	2012 Compensatory Change[4][7]	2012 Non-Compensatory Change[5][7]	Closing Present Value of Defined Benefit Obligation[6][7]
	At December 31, 2012	At Age 65	At December 31, 2012 $	At Age 65 $	$	$	$	$
M.H. Vels	21.5	34.9	272,303	442,229	2,867,785	111,873	355,283	3,334,941
C.B. McLean	12.2	24.0	125,525	247,578	1,324,592	98,708	102,405	1,525,705
R.G. Ménard	12.9	12.9	63,777	63,777	893,087	59,783	62,538	1,015,408

Notes

(1) The Number of Years of Credited Service as at December 31, 2012 corresponds to the actual years of service with the Corporation and subsidiaries and Maple Leaf Foods. The Number of Years of Credited Service at age 65 is the sum of the number of years of credited service as at December 31, 2012 and the projected years of credited service from December 31, 2012 to the date the executive turns 65. Although the Corporation's pension plans do not prohibit granting years of service in addition to years of membership, this option has been used infrequently in the last 10 years. As a result, the Corporation intends to amend its pension plans to explicitly prevent the option of granting years of service in addition to years of membership.

(2) The Annual Benefits Payable is the amount of lifetime pension payable in the normal form. Messrs. Vels and McLean were not eligible to retire at December 31, 2012. For them, the amount of Annual Benefit Payable at December 31, 2012 is the annual pension the NEO would have been entitled to on termination of employment at that time. The amount is payable from age 65 onwards. The amount is based on the years of credited service earned to December 31, 2012 and on average pensionable earnings at December 31, 2012. Mr. Ménard retired on September 1, 2012. For all NEOs, the Annual Benefit Payable at age 65 is the Annual Benefit Payable at December 31, 2012, increased to reflect credited service at age 65. Pensionable earnings are composed of salary only and exclude annual cash incentive payments and other compensation. The NEOs are fully vested in their pension entitlements earned to December 31, 2012.

(3) The Opening Present Value of Defined Benefit Obligation is the value of the projected pension earned for service to December 31, 2011. The values have been determined as at December 31, 2011, based on actual pensionable earnings adjusted to reflect expected increases to retirement.

(4) The 2012 Compensatory Change is the value of the projected pension earned for service during 2012 as well as experience gains and losses arising from the NEO's salary increase for the year being greater or lesser than the assumption used. The values have been determined as at December 31, 2012 based on actual pensionable earnings adjusted to reflect expected increases to retirement.

(5) The 2012 Non-Compensatory Change includes interest accruing on the beginning-of-year obligation, other experience gains and losses, and changes in interest rate assumptions resulting from changes in long-term bond yields.

(6) The Closing Present Value of Defined Benefit Obligation is the value of the projected pension earned for service to December 31, 2012. The values have been determined as at December 31, 2012, based on actual pensionable earnings adjusted to reflect expected increases in pensionable earnings.

(7) The calculations of reported amounts use the same actuarial assumptions and methods that are used for calculating accrued benefit obligations and annual expenses, as disclosed in the Corporation's 2012 and 2011 consolidated financial statements at Note 8, and as prescribed by the International Financial Reporting Standards. The methods and assumptions used to determine estimated amounts will not be identical to the methods and assumptions used by other issuers and, as a result, the figures may not be directly comparable across issuers. In accordance with International Financial Reporting Standards, the amounts above make no allowance for the different tax treatment of the portion of pension not paid from the registered pension plans. All amounts shown above are based on assumptions and represent contractual entitlements that may change over time.

PENSION TABLE – DEFINED CONTRIBUTION PLANS

The table below shows a reconciliation of the account balances from December 31, 2011 to December 31, 2012 for the NEOs participating in the Corporation's qualified 401(k) plan in the United States.

Name	Accumulated Value at December 31, 2011[1] $	2012 Compensatory Change[2] $	Accumulated Value at December 31, 2012[1] $
R.A. Lan	502,570	9,996	601,261
D.J. Curtin	114,803	9,996	165,346
Supplemental Information: In US$[1]			
R.A. Lan	494,169	10,000	603,192
D.J. Curtin	112,884	10,000	165,876

Notes:

(1) The accumulated value of the pension account is held in US dollars and is translated to Canadian dollars using the exchange rates of $1.0170 per US$1.00 as at December 31, 2011 and $1.0170 per US$1.00 as at December 31, 2012. Amounts other than the year-end balances have been converted using an average exchange rate for the year of $0.9996 per US$1.00.

(2) The 2012 Compensatory Change amount is the contribution made by the Corporation to the plan in 2012 in respect of the NEO, and is based on eligible earnings in 2012.

SUMMARY OF DEFINED BENEFIT PLAN PROVISIONS (CANADA)

Messrs. Vels, McLean and Ménard (with respect to his most recent 9.7 years of service), participate under defined benefit plans, as summarized below. Pension benefits are determined based on the member's credited service in the plan and average pensionable earnings at retirement. Average pensionable earnings are calculated as the highest average of the member's pensionable earnings (salary, excluding annual cash incentive payments and other compensation) earned over 60 months in the last 120 months of earnings preceding retirement. Retirement income is payable for the lifetime of the member with a minimum guarantee of 60 monthly payments. Payment options of actuarially equivalent value are also available.

The annual pension benefit is determined as follows:

- Multiply years of credited service (up to 35 years) by:
- The sum of:
  - 1.3 percent of average pensionable earnings up to the average of the last five years maximum pensionable earnings limits under the Canada/Quebec Pension Plans ("final average YMPE"); and
  - 2 percent of the excess of average pensionable earnings above the final average YMPE.

This pension is determined without regard to the maximum pension limit for registered pension plans under the *Income Tax Act* (Canada), with the amount in excess being paid under the supplemental non-registered plan.

The normal retirement age is 65, but members may elect to start their pension anytime between the ages of 55 and 71. There is no reduction to a member's pension if retirement occurs on or after attaining 60 years of age. If a member retires between age 55 and 60 and their age plus years of continuous service total at least 85 points, their pension will be reduced by 0.5 percent for each month that retirement is before age 60. Otherwise, pensions are reduced on an actuarial equivalent basis.

Designated Executives (which includes NEOs) are not required to contribute to the plan.

Mr. Ménard also has 3.25 years of credited service under another of the Corporation's defined benefit plans in addition to the 9.7 years under the plan described in the preceding paragraphs. Under that other plan his pension benefit was determined as of December 31, 2002 based on his pensionable earnings at that time and is indexed annually based on the increase in the maximum pensionable earnings limit under the Canada/Quebec Pension Plans and is limited to the lesser of the rate of increase in the Average Industrial Wage Index and 5%.

SUMMARY OF DEFINED CONTRIBUTION PLAN PROVISIONS (U.S. 401(K))

Mr. Lan and Mr. Curtin participate in the Maple Leaf Foods USA Retirement Plan which is a qualified 401(k) plan that is available to employees on a voluntary basis. Employees may elect to contribute annually up to 60% of their eligible earnings up to a maximum of $17,000 in 2012. Eligible earnings include salary, annual cash incentive payments and other compensation to a yearly maximum amount. In 2012, the maximum was US$250,000. The Corporation matches 100% of the participant's annual contribution for the first 3.0% of eligible earnings plus 50% for the next 2.0% of eligible earnings to a maximum match of 4%. Contributions are deposited into the participant's account and invested based on the investment elections made by the participant. The Corporation's portion of a participant's account vests immediately. Participants are permitted, while employed by the Corporation, to make withdrawals from their account after attaining 59½ years of age. Otherwise, a participant's account is distributed when the participant leaves the Corporation or becomes permanently disabled. A non-qualified benefit plan is not offered by the Corporation.

Termination and Change of Control Benefits

The Corporation does not have contracts of employment with any of its NEOs which specify benefits payable on termination of employment or change of control.

However, the Human Resources and Compensation Committee of Maple Leaf Foods has established rules for the expiry of units held by employees under the 2006 RSU Plan and for options held under the 2004 Share Incentive Plan on termination of employment. These rules, which are detailed below, apply to all participants in the plan including those who are NEOs or other employees of Canada Bread.

Reason for Termination of Employment	Termination of RSUs	Termination of Options
Termination by the Corporation for Cause	RSUs held expire on the date of termination.	Options held expire on the date of termination.
Termination by Voluntary Resignation	RSUs held expire on the date of termination.	Options held expire 30 days following the date of termination.
Termination by the Corporation Without Cause	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination – a proportionate[(1)] number of units continue to be held to the maturity/distribution date.	Unvested options held expire on the date of termination. Vested options held expire 30 days following the date of termination.
Retirement from the Industry[(2)]	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination continue to be held to the maturity/distribution date.	Options granted less than six months before the date of termination expire on termination. Options granted more than six months before the date of termination continue to be held until exercised or the normal expiry date.

Reason for Termination of Employment	Termination of RSUs	Termination of Options
Normal Retirement[3]	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination continue to be held to the maturity/distribution date.	Unvested options that do not, in accordance with term of the award, vest within 11 months of the date of retirement expire on the date of retirement. Vested options as of the date of retirement and options that, in accordance with term of the award, vest within 11 months of the date of retirement expire 12 months following the date of retirement
Early Retirement[4]	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination – a proportionate[1] number of units continue to be held to the maturity/distribution date.	Unvested options that do not, in accordance with term of the award, vest within 11 months of the date of retirement expire on the date of retirement. Vested options as of the date of retirement and options that, in accordance with term of the award, vest within 11 months of the date of retirement expire 12 months following the date of retirement.

Notes:

(1) On maturity, the employee will receive a proportion of the distribution he or she would have been entitled to had he or she remained employed with the Corporation. The proportion is equal to (a) the number of months from the date of grant to the date of termination, to (b) the number of months from the date of grant to the distribution date. For example, assume an employee was granted RSUs in an award with a three year vesting period. If the employee is terminated by the Corporation without cause or takes early retirement after one year, one-third of the full amount of the final distribution will be distributed.

(2) Retirement from the industry is defined as termination of employment other than by the Corporation for cause, at the time when the employee is 55 or older with a minimum of five (5) years of service and the employee agrees not to provide any services directly or indirectly to any company or other organization that competes with the Corporation in the industry in which the executive was engaged by the Corporation.

(3) Normal retirement is defined as termination of employment other than by the Corporation for cause, at the time when the employee is 60 years or older and has at least 10 years of service.

(4) Early retirement is defined as termination of employment other than by the Corporation for cause, at the time when the employee is 55 years or older and has at least 10 years of service.

REPORT ON CORPORATE GOVERNANCE

This Statement of Corporate Governance Practices has been prepared by the Governance Committee of the Board and has been approved by the Board.

The Board and management of the Corporation are committed to maintaining a high standard of corporate governance. The Board has responsibility for the overall stewardship of the Corporation and discharges such responsibility by reviewing, discussing and approving the Corporation's strategic planning and organizational structure and supervising management with a view to preserving and enhancing the underlying value of the Corporation. Management of the business within this structure is the responsibility of the CEO and senior management.

The Board has adopted the guidelines and employs practices and procedures related to corporate governance matters, which are summarized below:

BOARD RESPONSIBILITIES

1. Board Mandate

   The Board has responsibility for the stewardship of the Corporation and has adopted a formal mandate setting out the Board's stewardship responsibilities, including the Board's responsibilities for the appointment of management, strategic planning, monitoring of financial performance, financial reporting, risk management and oversight of the Corporation's policies and procedures, communications and reporting and compliance. A full copy of the Board's mandate is available on SEDAR (www.sedar.com) and is incorporated by reference into this Management Information Circular.

2. Corporate Strategy

   Management is led by the CEO, who is responsible for the development of long-term corporate strategy, while the role of the Board is to review, question, validate and, ultimately, after incorporating the Board's suggestions into the proposals of management, to approve the strategies of each division of the Corporation and the Corporation as a whole. The process of strategy development is continuous and evolving, and the Board receives periodic updates from management on developments to the Corporation's long-term strategy. On a rotating basis, the Board conducts an in-depth review of each division's operations, competitive positioning and strategy. At the time it reviews the Corporation's annual budget, the Board reviews the Corporation's strategic plans.

   The Board also reviews periodic updates of the Corporation's progress on its strategic goals and makes major decisions in the context of the strategic plan. The Corporation is engaged in a multi-year strategy, transforming the Corporation from a wide mix of packaged consumer foods with subscale plants and networks to a packaged consumer foods products company with efficient plants, networks and systems. In October 2009 the Board approved the new strategic plan that included, among other things, the construction of the large-scale bakery in Hamilton, Ontario that was commissioned in mid-2011.

3. Succession Planning

   Management succession planning is an ongoing activity. The Board ensures that succession planning programs are in place, including programs to appoint, train, develop and monitor management.

4. Board Communication with Stakeholders

   The Corporation has adopted and follows a Disclosure Policy for the Corporation. The Board, or an appropriate committee of the Board, reviews the content of the Corporation's major communications to shareholders and the investing public, including quarterly and annual reports, management's discussion and analysis, proxy circulars, the annual information form and any prospectuses.

   The Board believes management should speak for the Corporation in its communications with the investment community, the media, customers, suppliers, employees, governments and the general public. If communications from stakeholders are made to the Chairman or other individual directors, management is informed and consulted to determine any appropriate response.

5. Corporate Governance

   The Governance Committee is responsible for developing and recommending improvements to corporate governance guidelines, policies and mandates for implementation by the Board.

BOARD ORGANIZATION AND MEMBERSHIP

6. Chairman of the Board

   The Board has approved and periodically reviews a written position description for the Chairman that sets out the responsibilities and accountabilities of the Chairman, which include duties relating to setting Board meeting agendas, chairing Board and shareholder meetings and, together with the Chairman of the Governance Committee, conducting director and Board assessments.

7. Board Size and Selection of New Director Candidates

   The maximum number of directors permitted by the Corporation's Articles is 12, and the minimum number is five. Within that range, the Board is authorized to establish the number of directors.

   The Corporation's largest shareholder, Maple Leaf Foods, holds 90.0003% of the outstanding Common Shares; this effectively gives it control of the nomination process. The Chairman of the Board and the Governance Committee and its Chairman, however, have led the process of new director nominations for independent directors in consultation with Maple Leaf Foods. Each member of the Governance Committee is independent. Other directors are encouraged to identify potential candidates for nomination. To the extent the Board of Directors as a whole determine that an additional director is desirable, the chairmen of the Board and Governance Committee prepare a list of potential candidates and solicit the suggestions from other directors. Each potential candidate's suitability is assessed by the chairmen through a review of experiences, references and in interviews.

8. Individual Director Voting and Majority Voting

   In December 2012, the Board adopted a policy requiring individual voting for each director. Under the policy, if in an uncontested election any nominee for director with respect to whom a majority of the votes represented by proxies validly deposited prior to a meeting of shareholders of the Corporation at which directors of the Corporation are to be elected (the "Election Meeting") are "withheld" from his or her election, such director shall submit his or her resignation to the Board for consideration promptly following the Election Meeting.

   The directors who each receive a majority of "For" votes at the same Election Meeting (or if there are fewer than three such directors, the entire Board) shall consider whether or not to accept the resignation. A press release disclosing their decision (and the reasons for rejecting the resignation, if applicable) shall be issued within 90 days after the Election Meeting.

   The Board believes that basing this policy on votes represented by proxies deposited in advance is appropriate for the Corporation. In May 2012, over 93.9% of all shares represented at the annual shareholders' meeting were represented by proxies deposited in advance.

9. Independence of Directors

   Subject to the rights of the majority shareholder, at all times a sufficient number of independent directors are to be nominated to represent the interest of other shareholders. The Board has defined an independent director to mean a director who is not a member of management and is free from any interest and any business, family or other relationship which could, or could reasonably be perceived to, materially interfere with the director's ability to act with a view to the best interests of the Corporation.

   A director shall not be considered to be independent if the director would not be considered independent under director independence tests for Audit Committee membership under applicable securities laws.

   The Board annually reviews the report of the Governance Committee on its review of the independence of each of the non-management directors.

   The following directors are considered to be "independent":

   W.E. Aziz S.A. Everett J.F. Petch

   The following directors are considered to be "not independent" as they are executive officers of either the Corporation or its 90.0003% shareholder, Maple Leaf Foods, which provides management services to the Corporation:

   M.H. McCain – Chairman of the Board of the Corporation and CEO of Maple Leaf Foods
   J.S. McCain – President and Chief Operating Officer, Agribusiness Group, Maple Leaf Foods
   R.A. Lan – CEO of the Corporation and Chief Operating Officer, Food Group, Maple Leaf Foods
   M.H. Vels – CFO of the Corporation and Maple Leaf Foods

   The Board ensures its independent directors' leadership by requiring that an *in camera* meeting of the independent directors is held at each regular Board meeting. Mr. Petch, Chairman of the Governance Committee, chairs the *in*

camera meetings and acts a liaison between the independent directors and the Chairman of the Board. The Chairman of the Governance Committee performs other duties consistent with a lead director.

Each Committee of the Board is formed entirely with directors who are independent. The Committees also meet *in camera* without any members of management present at each regular committee meeting.

10. Term Limits for Directors

The Board values the increased insight into the Corporation and its strategy and operations that directors develop and the increased contribution that directors make over a long period of service. For this reason, the Board has not established fixed term limits as it would have the effect of forcing off the Board directors who have developed these insights. To ensure continued effectiveness of each director, the Board relies on its performance evaluation process.

11. Composition of the Board

Annually, the Governance Committee reviews the competencies, skills and personal qualities of candidates to be considered for nomination to the Board. The objective of this review is to maintain the composition of the Board in a way that provides, in the judgment of the Board, the best mix of skills and experience to provide for the overall stewardship of the Corporation. The Governance Committee takes into account the desirability of maintaining a reasonable diversity of personal characteristics such as age, gender, geographic residence and origin. However, all directors must possess the highest personal and professional ethics, integrity and values and be committed to representing the long-term interests of the shareholders. They must also have an inquisitive and objective perspective, practical wisdom and mature judgment, outstanding ability in their individual fields of expertise and a willingness to devote necessary time to Board matters.

12. Director Orientation and Education

The Governance Committee is responsible for the orientation and education of new directors as well as the continuing education of existing outside directors. A standard template has not been developed as the skills, knowledge of the Corporation and the industry and background of each new director will in large measure determine the nature and intensity of the orientation and education. The Committee oversees the continuous education of directors in the Corporation's various operational units, functional areas and other areas of interest to the directors. This is accomplished with a program of regular presentations, briefings and plant visits.

The Corporation maintains a program called "Board Connect" under which outside directors spend one day each year working with management of an operating unit or functional area. The plan is designed to provide opportunities for directors to engage in specific areas of the business at a deeper level and to engage employees very directly, enabling directors to assess the depth and breadth of management resources.

Director	Function	Business Unit
J.F. Petch	Sales	Frozen Bakery
S.A. Everett	Finance	Corporate/Home Office

BOARD COMMITTEES AND TERMS OF REFERENCE

13. Board Committees

The Board has established two Board committees: (i) the Audit Committee; and (ii) the Governance Committee. This structure may change as the Board considers from time to time which of its responsibilities can best be fulfilled through a detailed review of matters at the committee level. Each committee operates according to a Board-approved written charter outlining its duties and responsibilities. A written set of procedures and policies set out the role of each committee chairman.

The purpose of Board committees is to assist the Board in discharging its responsibilities. Notwithstanding the delegation of responsibilities to a Board committee, the Board is ultimately responsible for matters assigned to each committee for its determination. Except as may be explicitly provided in the charter of the committee or a resolution of the Board, the role of the Board committee is to review and make recommendations to the Board with respect to the approval of matters considered by the committee.

In 2012, the Corporation entered into a new Intercompany Management Services Agreement with its parent company, Maple Leaf Foods. The agreement replaced a Management Affiliation Agreement that had been in place since 1995. The Board formed an ad hoc committee consisting of its three independent directors. The ad hoc committee engaged independent legal counsel and a financial firm to provide advice.

14. Membership of Committees

The Board has determined that each committee shall be composed entirely of independent directors. In addition, all members of the Audit Committee shall be financially literate within the meaning of applicable securities laws.

After receipt of recommendations from the Governance Committee, the Board appoints the members of the committees annually, and as necessary to fill vacancies, and generally appoints the chairman of each committee. Members of the committees hold office at the pleasure of the Board.

The Committees' members and year first appointed are as follows:

Audit Committee		**Governance Committee**	
W.E. Aziz, as Chairman	2005	J.F. Petch, as Chairman	1995
J.F. Petch, and	2008	W.E. Aziz, and	2008
S.A. Everett	1995	S.A. Everett	1995

15. Committee Mandates

In summary, the responsibilities and functions of each committee are as follows:

Audit Committee

a) To assist the Board by reviewing the adequacy and effectiveness of financial and reporting processes, including:
   (i) the systems of internal and financial controls;
   (ii) the selection of accounting policies and principles;
   (iii) the preparation and audit of financial reports;
   (iv) the review of treasury risk-management functions;
   (v) the oversight of the stewardship of the Corporation's pension plan funds and reporting to the Board; and
   (vi) the monitoring of certain other financial matters.

b) To oversee and monitor the appointment, independence and performance of the internal and external auditors.

c) To establish and monitor procedures for handling of concerns and complaints related to financial matters.

d) To approve, on behalf of the Board, certain financial and other matters as delegated by the Board.

e) To review and make recommendations for approval of annual financial statements, management's discussion and analysis of the financial condition of the Corporation and the results of its operations for release to shareholders.

f) To review and approve the interim financial statements, management's discussion and analysis of the financial condition of the Corporation and the results of its operations for release to shareholders.

g) To conduct independent investigations into matters which may come under its scope of responsibilities.

Governance Committee

a) Human Resource Matters
   (i) To review and to recommend changes with respect to compensation of employees, with a view to ensuring that the necessary policies and processes are in place by which all employees will be fairly and competitively compensated.
   (ii) To evaluate the performance of the CEO annually, to receive the Chairman's recommendation for changes to the CEO's compensation and to make recommendations to the Board.
   (iii) To review the CEO's evaluation of the performance of the other executive officers of the Corporation and its major subsidiaries annually and the CEO's recommendations with respect to the amount of compensation to be paid to the other executive officers.
   (iv) To assist in ensuring that appropriate human resource development, succession planning and performance evaluation programs are in place and that they are operating effectively.
   (v) To assist the Board in its responsibilities regarding the benefits under the Corporation's pension plans and to make recommendations to the Board for amendments.

b) Corporate Governance Matters

(i) To assist the Board, in conjunction with the Chairman, in matters pertaining to the Corporation's approach to governance issues and disclosures.

(ii) To assist the Board, in conjunction with the Chairman, if any, in matters pertaining to the organization and staffing of the Board, the organization and conduct of Board meetings and the effectiveness of the Board in performing and fulfilling its responsibilities.

(iii) To assist the Board in matters pertaining to the delegation of responsibilities to Board committees by reviewing periodically the terms of reference for Board committees and making recommendations to the Board for any amendments deemed necessary or advisable.

(iv) To assess the independence of individuals nominated for director.

(v) To assess the effectiveness of the Board, the committees and the individual members thereof.

c) Environmental Matters

(i) To review, on behalf of the Board, the Corporation's efforts to meet its objective of being a good corporate citizen with respect to the well-being of the environment, including avoiding nuisance or damage to the environment.

(ii) To assist in ensuring (a) that the Corporation has appropriate environmental policies having regard to legislative and regulatory requirements and industry standards in those areas and (b) that the Corporation has and maintains management systems to implement such policies.

d) Product Safety Matters

(i) To review, on behalf of the Board, the Corporation's efforts to ensure the safety of its products, including ensuring (a) that the Corporation has appropriate policies having regard to legislative and regulatory requirements and industry standards in those areas and (b) that the Corporation has and maintains management systems to implement such policies.

e) Health and Safety Matters

(i) To review, on behalf of the Board, the Corporation's efforts to meet its objective of protecting employee health and safety, including the health and safety of other persons.

(ii) To assist in ensuring (a) that the Corporation has appropriate health and safety policies having regard to legislative and regulatory requirements and industry standards in those areas and (b) that the Corporation has and maintains management systems to implement such policies.

BOARD MEETINGS AND MATERIALS

16. Functioning of the Board

The Governance Committee, together with the Chairman of the Board, is responsible for assessing and recommending changes to ensure that the Board carries out its objectives effectively and operates independently of management.

17. Meeting Agendas, Materials and Attendance of Non-Directors

Procedures are in place to govern the conduct of meetings, including, among other things, agendas, distribution of briefing materials and attendance of non-directors at meetings. These procedures are followed to promote informed and effective consideration of the matters on the agenda. Other senior managers attend each Board meeting to provide information and opinions to assist the directors in their deliberations.

18. *In Camera* Meetings

At each Board and Committee meeting held in person, the independent directors meet *in camera* without management or the non-independent directors present. The Chairman of the Governance Committee acts as Chairman of the *in camer*a session of the Board meetings. During the last completed fiscal year, there were five (5) *in camera* meetings of the Board.

DIRECTOR COMPENSATION AND SHARE OWNERSHIP

19. Director Compensation

The Board has determined that the directors should be compensated in a form and amount which is appropriate and which is customary for comparable companies, having regard for such matters as time commitment, responsibility and trends in director compensation.

The Governance Committee reviews the compensation of the directors annually. The Governance Committee review includes consideration of all forms of compensation that a director receives, directly or indirectly. The Committee considers the compensation paid to directors of its parent company, Maple Leaf Foods, in setting its own compensation.

While the Board has not established formal share ownership guidelines for directors, directors are encouraged to hold shares and to use all or a portion of their annual fees to purchase shares of the Corporation.

BOARD'S RELATIONSHIP WITH MANAGEMENT

20. Board Relationship with Management

Management is instructed to make appropriate use of the Board's skills before decisions are made on key issues. The Governance Committee reviews and assesses the Board's relationship with management.

21. Limits to Management Authority

As required by the Corporation's by-laws, the Board has established general authority guidelines that place limits on management's approval authority depending on the nature and size of the proposed transaction. These limits provide for some flexibility within approved budgets but require that transactions outside defined limits be approved by the Board or an appropriate committee.

22. Evaluation of the CEO

The Governance Committee conducts an annual review of the performance of the CEO against a written position description and the goals and objectives that have been established by the Committee and reviews, assesses and recommends the compensation of the CEO to the Board for approval. The results of the review are communicated to the CEO by the Chair of the Governance Committee.

23. Director Access to Management

All directors are to have open access to the Corporation's senior management for relevant information. Individual directors are encouraged to make themselves available for consultations with management outside Board meetings in order to provide specific advice and counsel on subjects where such directors have special knowledge and experience.

As noted above, the Corporation also uses a program called "Board Connect" under which directors spend one day working with management of an operating unit or functional area. The plan is designed to provide opportunities for directors to engage in specific areas of the business at a deeper level and to engage employees very directly, enabling an assessment of the depth and breadth of management resources. The program remains in effect.

DIRECTOR RESPONSIBILITIES AND PERFORMANCE

24. Director Responsibilities

Directors are expected to use their skill and experience to provide oversight to the business of the Corporation. Directors have a duty to act honestly and in good faith with a view to the best interests of the Corporation and to exercise the care, diligence and skill that a reasonably prudent person would exercise in comparable circumstances. Directors are expected to attend all Board and committee meetings in person (or by telephone). In circumstances where a director is unable to do so, he or she has the opportunity to communicate his or her views that are then shared with the full Board. The Governance Committee monitors attendance and considers reasons for absences from Board and committee meetings. A summary of the attendance record of each director at Board and committee meetings in 2012 is detailed on page 32.

25. Outside Advisors for Individual Directors

The Board has determined that any director who wishes to engage a non-management advisor to assist on matters involving his or her responsibilities as a director at the expense of the Corporation should review the request with, and obtain the authorization of, the Governance Committee. This pre-approval requirement does not limit the authority of the Audit Committee to engage consultants or advisors on matters of financial reporting.

26. Assessment of Board and Individual Director Performance

The Governance Committee periodically assesses the effectiveness of the Board through discussions and surveys. Informally, the performance and contribution of individual directors is assessed by the Governance Committee. The Committee has adopted a formalized program of periodic directors' assessment with a view to improving

effectiveness, consisting of a self-assessment by individual directors followed by an interview with the Chairman of the Board and Chairman of the Governance Committee. The overall results and conclusions are shared with the full Board.

ETHICS AND CONFLICTS OF INTEREST

27. Ethical Behaviour

    The Board takes all steps to assure itself of the ethics and integrity of the CEO and the executive officers and to ensure that the appropriate "tone at the top" for ethical conduct is established.

28. Code of Business Conduct

    The Board expects directors, officers and employees to act ethically at all times and to acknowledge their adherence to the policies comprising the Code of Business Conduct (the "Code"), which the Corporation, together with its parent company, Maple Leaf Foods, adopted in 1999. Each year, every employee is required to reaffirm in writing his or her adherence to the Code. New employees are given a copy of the Code upon joining the Corporation. Copies are available from the Corporation at 10 Four Seasons Place, Etobicoke, Ontario M9B 6H7 and are also available on SEDAR at www.sedar.com.

    An "Ethics Committee" comprised of management personnel for the Corporation and Maple Leaf Foods reviews and addresses issues of interpretation of the Code raised by employees and proposes changes to the Code. The Ethics Committee reports on its activities to the Governance Committee.

29. Whistle-Blower Procedures

    The Corporation has set up a whistle-blower hotline named the EthicsLine. The EthicsLine provides employees with an avenue to raise concerns such as fraud, accounting irregularities, kickbacks, product tampering or other issues. The process was designed to reassure complainants that they will be protected from reprisals or victimization when reporting concerns in good faith. All calls are recorded and logged at an independent call centre, and the incidents reported are tracked and resolved using the case management system. The Audit Committee reviews reports on the calls and their resolution on a quarterly basis.

30. Conflicts of Interest

    In addition to the statutory responsibilities of directors to disclose all actual or potential conflicts of interest and generally to refrain from voting on matters in which he or she has a conflict of interest, a director is required to declare his or her interest in the matter to be discussed and shall recuse himself or herself from any discussion or decision on any matter in which the director is precluded from voting as a result of a conflict of interest or which otherwise affects his or her personal, business or professional interests.

RECORD OF DIRECTOR ATTENDANCE AT BOARD AND COMMITTEE MEETINGS

The attendance record of each director at Board and committee meetings in 2012 was as follows:

	Audit Committee	Board	Governance Committee	Total	Attendance Percentage
Number of Meetings Held	6	7	5	18	
W.E. Aziz	6/6	7/7	5/5	18/18	100%
S.A. Everett	6/6	7/7	5/5	18/18	100%
J.F. Petch	6/6	7/7	5/5	18/18	100%
R.A. Lan		6/7		6/7	86%
J.S McCain		7/7		7/7	100%
M.H. McCain		7/7		7/7	100%
M.H. Vels		7/7		7/7	100%
Attendance	18/18	48/49	15/15	81/82	90%
Attendance percentage	100.0%	98.0%	100.0%	98.8%	

OTHER MATTERS

SECURITIES AUTHORIZED FOR ISSUANCE UNDER EQUITY COMPENSATION PLANS

The following table provides information as at December 31, 2012 with respect to Common Shares authorized for issuance under the Canada Bread incentive stock option plan:

Equity Compensation Plan Information as at December 31, 2012

Plan Category	Number of Securities to Be Issued Upon Exercise of Outstanding Options, Warrants and Rights (a)	Weighted-Average Exercise Price of Outstanding Options, Warrants and Rights (b)	Number of Securities Remaining Available for Future Issuance Under Equity Compensation Plans (Excluding Securities Reflected in Column (a)) (c)
Equity compensation plans approved by securityholders	–	–	303,000
Equity compensation plans not approved by securityholders	–	–	–
Total	–	–	303,000

On January 30, 1985, the directors established an incentive stock option plan for the Corporation (the "Plan"), which was approved by shareholders. The Plan, as amended on February 8, 1995, permits the directors to grant options to full-time employees of the Corporation or its affiliates to purchase the Corporation's unissued Common Shares. The Plan provides that the option price is based on the average of the ten (10) days' closing price of the Common Shares on the TSX preceding the date of grant. Options under the Plan expire ten years from the date of grant, 270 days following the death of any employee, 90 days following the termination of employment of the optionee or 270 days following the retirement of the optionee under a retirement plan of the Corporation or any affiliated company or such longer period as the directors, in their discretion, determine. The options, at the discretion of the Board, may be subject to staged vesting over a period of up to five years.

Options to be issued under the Plan will be exercisable only upon full payment, in cash, of the option price. Any options issued under the Plan are embodied in written instruments containing provisions, among others, relating to anti-dilution. There have been no option grants under this plan since 1995, and there is no present intention to make additional grants.

DIRECTORS' AND OFFICERS' LIABILITY INSURANCE

Directors' and officers' liability insurance has been arranged through the Corporation's controlling shareholder, Maple Leaf Foods. The Corporation's share of the annual premium cost for the year ended December 31, 2011, was $19,947. This amount was not allocated as between officers and directors. The insurance limit under the policy is $50,000,000 for each loss and each policy year, with the Corporation subject to a $100,000 deductible provision. The directors and officers are not liable for any payment under a deductibility clause or payment of any premium.

INTERESTS OF INSIDERS AND INFORMED PERSONS IN MATERIAL TRANSACTIONS

Reference should be made to the heading "Voting Securities and Principal Holders Thereof" for details of Maple Leaf Foods' shareholdings in the Corporation. Messrs. R.A. Lan, J.S. McCain, M.H. McCain and M.H. Vels are directors of the Corporation and are also officers and/or directors of Maple Leaf Foods.

In 1995, the Corporation entered into a Management and Affiliation Agreement with Maple Leaf Foods, whereby the Corporation benefited from certain services provided by Maple Leaf Foods. This agreement was superseded when the Corporation entered into an Intercompany Management Services Agreement effective January 1, 2012 with Maple Leaf Foods. The Intercompany Management Services Agreement was reviewed and approved by a committee composed of independent members of the Board. Annually, the Audit Committee, each of whose members are independent, reviews the charges and budgets contemplated in the agreement for the following year and makes recommendations to the independent members of the Board.

Under the Intercompany Management Services Agreement, Maple Leaf Foods provides the Corporation with certain management services including but not limited to treasury services including debt and cash management; accounting

services and financial reporting including accounting systems, accounting standards and advice, internal controls and financial reporting; risk management services including in respect of foreign exchange risk, interest rate risk, commodity price risk and energy price risk; human resources including labour relations and employee development services; pension and benefit plan services; public and investor relations; corporate secretarial services, taxation services including compliance and planning; insurance services; legal matters; mergers, acquisitions and divestitures support; internal audit; sales training; corporate logistics; corporate manufacturing; food safety and quality; government relations; engineering and environmental services; strategy development and analysis; information services; marketing services; consumer affairs; ThinkFood! Centre services; Six Sigma services; and, purchasing services. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Corporation for these services are based on the actual cost of providing such services by Maple Leaf Foods and are allocated to the Corporation based on either whether the cost of the particular service or function is reasonably capable of being allocated on a specific cost allocation basis to business units, or where not practicable to so allocate the cost in such manner to charge a fee determined in accordance with the formula set out in the Intercompany Management Services Agreement which is based on an agreed-upon percentage of the costs. Fees paid to Maple Leaf Foods in 2012 for these services were $49.3 million (2011: $47.4 million; 2010: $50.5 million). A copy of the Intercompany Management Services Agreement is available on SEDAR at www.sedar.com.

GENERAL

Except where specifically stated, information contained herein is given as of March 25, 2013.

OTHER BUSINESS

Management of the Corporation is not aware of any matters to come before the meeting other than those referred to in the Notice of Meeting.

RECEIPT OF SHAREHOLDER PROPOSALS FOR NEXT ANNUAL MEETING

Any shareholder who intends to present a proposal at our 2014 Annual Meeting of Shareholders must send the proposal to the Corporation, Attention: Corporate Secretary at 10 Four Seasons Place, Toronto, Ontario M9B 6H7. In order for the proposal to be included in the proxy materials we send to shareholders for that meeting, the proposal must be received by the Corporation no later than March 7, 2014, and must comply with the requirements of Section 99 of the *Business Corporations Act* (Ontario).

ADDITIONAL INFORMATION

Additional documents, including copies of the most recent Annual Information Form (including any documents incorporated by reference therein) of the Corporation, the Annual Report, including the audited financial statements and management's discussion and analysis of the Corporation for its most recently completed financial year, interim financial statements of the Corporation and other documents the Corporation files with the securities regulatory authorities in Canada, are available upon request from the Corporate Secretary, 10 Four Seasons Place, Toronto, Ontario M9B 6H7. Financial information is provided in the Corporation's comparative financial statements and management's discussion and analysis for its most recently completed financial year.

The above information and additional information relating to the Corporation is also available on SEDAR at www.sedar.com.

APPROVAL

The contents and the sending of this Management Information Circular have been approved by the directors of the Corporation.

DATED at Toronto, Canada, this 25th day of March, 2013.



R. CAPPUCCITTI
Corporate Secretary